

balances into the Vault enhances security, it does require two-factor authentication and time delays before withdrawal. This means that moving funds from the Vault takes 48 hours. Coinbase's dual functionality is like having a checking and a savings account at a bank. Bitcoin that investors need to access quickly can be kept in a regular Coinbase account (the checking account), and for added security additional bitcoin can be held in a Vault account (the savings account).

Desktop Wallets

With a desktop wallet, the private keys are stored directly on the computer where the software is downloaded. The user has full control, and no one else can lose, spend, or send his or her bitcoin. There are two kinds of desktop wallets: a *full client* and a *lightweight client*. When we say client, it simply refers to the functionality of the software application that is running on the computer. A full client is a much more intensive software application, whereas a lightweight client provides a more hassle-free approach to storing bitcoin.

In the early days of Bitcoin, there was only the wallet associated with Satoshi's software, which is now referred to as Bitcoin Core. This wallet is a full client, meaning it requires a full download of Bitcoin's blockchain and therefore substantial bandwidth and storage space. When a computer is running this software, it is counted as a *full node* in Bitcoin's network, meaning it has a record of every single Bitcoin transaction. Full nodes are great for security and autonomy and are the